

Apple Inc. (AAPL)

Technology — Consumer Electronics · 2026-07-17 · computed from SEC EDGAR, Yahoo Finance, and FRED

RATING	PRICE	OUR TARGET	IMPLIED	STREET	WITHIN COVERAGE
SELL	\$332.18	\$225.51	-32.1%	\$315.79	Least Preferred



Investment Summary

We rate AAPL **SELL** with a price target of **\$225.51**, against a current price of \$332.18 (-32.1% implied return). Within our coverage universe, the name ranks **Least Preferred**.

The target blends independent valuation lenses: discounted cash flow values the shares at \$150.69; peer comparables values the shares at \$185.13; own historical multiple values the shares at \$267.61.

Analyst overlay (2026-07-03, +15.0%): Partial credit for AI services optionality that the base engine, by design, refuses to price. Street consensus embeds a full AI-gateway narrative (estimated at up to \$15B per year of services revenue long-term, per Wedbush); pricing that

narrative's cash flows directly supports roughly \$15-20 per share, probability-weighted. We credit approximately that arithmetic value and no more – the services opportunity is real but unproven, and hardware replacement-cycle acceleration remains speculative. Confirmed by analyst review, 2026-07-08. *(Review by 2026-10-30.)*

Our target sits -28.6% vs. street consensus of \$315.79. The divergence is our documented view, not an input: consensus never enters the models.

The Investment Thesis

Initiating at SELL, \$229 target: quality is not the question; the multiple is.

- **Valuation:** AAPL trades at roughly 38x trailing earnings. Its own five-year average is about 28x. Comparable large technology companies trade near 23x. In plain terms, Apple is expensive even by Apple's own expensive standards. Our three approaches value the shares at \$152 (discounted cash flow), \$190 (peer multiples), and \$267 (its own historical multiple). The blended base case is \$199. Our published target of \$229 adds a disclosed +15% adjustment for the AI services opportunity. Street consensus stands near \$317 across 42 analysts, roughly in line with the current price.
 - **What the market is paying for:** consensus embeds an AI-gateway story. In that story, Apple's roughly two billion active devices become the front door through which consumers use AI, and Apple collects the toll through services revenue. Commonly cited estimates put the prize at up to \$15B per year of incremental services revenue over time. We priced that scenario. Weighted for the chance it disappoints, it is worth \$15 to \$20 per share, and our overlay credits it in full. The remaining ~\$85 per share of gap between our target and the market price is, in our view, story that has not yet produced cash flow.
 - **What the filings show:** FY25 revenue of \$416.2B grew 6%. The three years before it were roughly flat. The five-year revenue growth rate is 8.7% per year, and free cash flow has compounded near 6%. We believe these are the growth rates of a mature franchise. We are unwilling to capitalize them at a record multiple.
 - **Our position:** AAPL is a superb business at an unattractive price. The rating is a valuation call, not a quality call. The specific results that would change our view are listed under Catalysts.
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Macro & Industry Overview

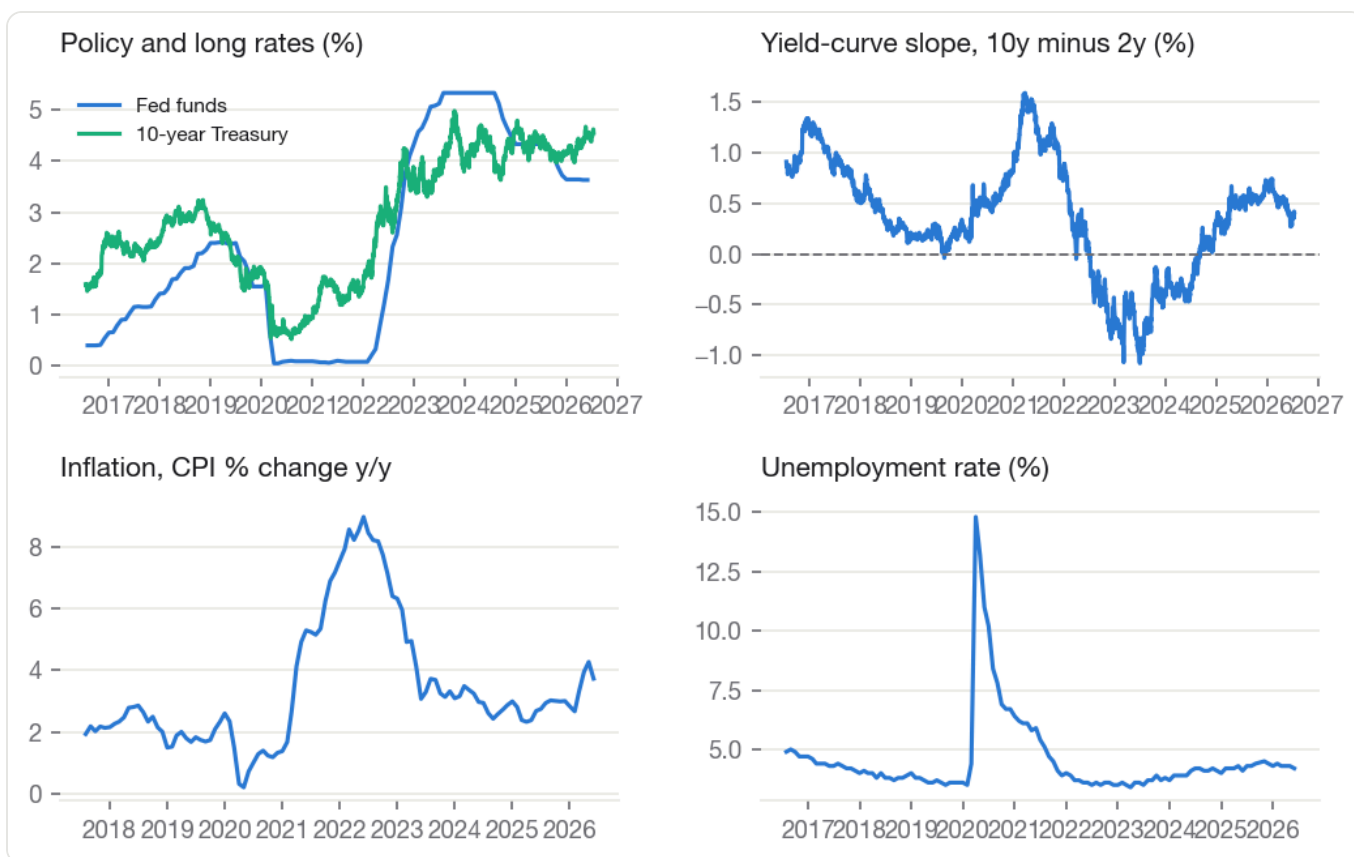
Economic backdrop (FRED, latest readings):

INDICATOR	LATEST	AS OF	1Y AGO	CHANGE
Effective Federal Funds Rate (%)	3.63	2026-06-01	4.33	-0.70
10-Year Treasury Yield (%)	4.55	2026-07-15	4.50	+0.05
10Y-2Y Treasury Spread (%)	0.41	2026-07-16	0.58	-0.17
Consumer Price Index (level)	332.57	2026-06-01	321.44	+11.13
Unemployment Rate (%)	4.20	2026-06-01	4.10	+0.10
U. Michigan Consumer Sentiment	44.80	2026-05-01	52.20	-7.40
Personal Consumption Expenditures (\$B)	22,059.80	2026-05-01	20,755.00	+1,304.80

Cost of equity: **9.85%** (10Y Treasury 4.55% risk-free base, CAPM).

Macro linkages applied to this valuation (rule-based, capped; see MACRO_CATALOG.md):

- **credit_spread_erp** [BAA10Y] — Baa spread 1.60%, -0.37pp vs 10y median. Adjustment: -0.18% to cost_of_equity. Credit spreads are a market-priced risk gauge; wider-than-normal spreads raise the equity risk premium.
- **dollar_translation** [DTWEXBGS] — Trade-weighted dollar +0.6% y/y. Adjustment: -0.10% to growth. ~58% of revenue is foreign; a stronger dollar shrinks it in translation, a weaker one inflates it.
- **durables_demand** [PCEDG] — Durables spending +5.7% y/y vs +6.2% 5y trend. Adjustment: -0.15% to growth. Premium devices are durable-goods purchases; demand running above/below trend leans on near-term growth.



Business Description

Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a line of smartphones; Mac, a line of personal computers; iPad, a line of multi-purpose tablets; and wearables, home, and accessories comprising AirPods, Apple Vision Pro, Apple TV, Apple Watch, Beats products, and HomePod, as well as Apple branded and third-party accessories. It also provides AppleCare support and cloud services; and operates various platforms, including the App Store that allows customers to discover and download applications and digital content, such as books, music, video, games, and podcasts, as well as advertising services include third-party licensing arrangements and its own advertising platforms. In addition, the company offers various subscription-based services, such as Apple Arcade, a game subscription service; Apple Fitness+, a personalized fitness service; Apple Music, which offers users a curated listening experience with on-demand radio stations; Apple News+, a subscription news and magazine service; Apple TV, which offers original content and live sports; Apple Card, a co-branded credit card; and Apple Pay, a cashless payment service, as well as licenses its intellectual property. The company serves consumers, and small and mid-sized businesses; and the education, enterprise, and government markets. It distributes third-party applications for its products through the App Store. The company also sells its products through its retail and online stores, and direct sales force; and third-party cellular network carriers and resellers. The company was formerly known as Apple Computer, Inc. and

changed its name to Apple Inc. in January 2007. Apple Inc. was founded in 1976 and is headquartered in Cupertino, California.

Segments and revenue drivers

FY2025 net sales of \$416.2B by reported category, per the 10-K:

SEGMENT	FY2025 REVENUE	SHARE OF TOTAL	GROWTH Y/Y
iPhone	\$209.6B	50%	+4%
Services	\$109.2B	26%	+14%
Wearables, Home & Accessories	\$35.7B	9%	-4%
Mac	\$33.7B	8%	+12%
iPad	\$28.0B	7%	+5%

- **iPhone concentration:** the iPhone is half of revenue, and in practice more than that. Services are sold to people who own iPhones. Watches and AirPods are sold to people who own iPhones. A weak iPhone cycle therefore reaches every other line, with a lag.
- **The mix-shift math:** Services is 26% of revenue and growing about 14%. The other 74% of the company grows about 3–4%. At those speeds, Services gains only one to two percentage points of revenue share per year. It would take more than a decade for Services to become half of Apple. The direction of the bull case is right. The speed the current multiple assumes is not.
- **Margin mix:** each dollar of services revenue carries roughly twice the gross profit of a hardware dollar. Mix shift therefore lifts consolidated margins a little each year. The FY25 net margin of 26.9%, up from 24.0% in FY24, already reflects this tailwind.
- **Watch item:** Wearables fell 4% in FY25, the category's first sustained decline. We read that as evidence that device saturation now extends beyond the iPhone.

Industry Overview and Competitive Positioning

- **Market structure:** the world buys about 1.2 billion smartphones a year, and has for most of a decade. People also keep their phones longer, because the improvements between models have grown smaller. Growth in this industry now comes from three places: higher prices per device, more services revenue per device, and anything that persuades people to upgrade sooner. Within that structure, Apple earns the substantial majority of the entire industry's profit on a minority of its units. *Net effect: favorable — a mature market, but Apple owns its most profitable corner.*
- **China (~20% of revenue):** China is the one major market where Apple is losing share, mainly to a resurgent Huawei. Preference for domestic brands and geopolitical tension add risks that Apple cannot control. We treat China stabilization as a key swing factor for the stock. *Net effect: negative today, and the largest single regional risk in the story.*

- **The AI-interface question:** the structural bear case runs as follows. If consumers come to accomplish tasks by talking to an AI assistant rather than opening apps, the app grid matters less, and so does the App Store toll built on it. Apple has moved slowly here, and the upgraded Siri has been delayed repeatedly. The bull counter is distribution: with two billion active devices, Apple's AI needs to be adequate, not first. We regard the outcome as genuinely uncertain. That uncertainty is why our target credits only the visible services opportunity, priced as arithmetic. *Net effect: unresolved — the single question most likely to decide whether today's multiple proves cheap or absurd.*
- **Regulatory:** Google pays Apple an estimated \$20B+ per year to remain the iPhone's default search engine. That revenue arrives with almost no cost attached, and it remains subject to antitrust litigation and appeal. Separately, European regulation has already forced Apple to allow rival app stores. We view these pressures as caps on the services multiple rather than near-term earnings events. Our target does not assume the Google payment is lost. *Net effect: negative — a persistent ceiling on how richly the services stream should be valued.*

The moat — durability of the franchise

We assess the moat as wide and stable-to-slightly-narrowing. It rests on four layers:

- **Switching costs:** a customer's photos, messages, purchases, and subscriptions all live on the iPhone. Leaving costs an evening of frustration most people will not volunteer for. Observed churn to Android remains low across cycles.
- **Brand and pricing power:** Apple charges well above industry prices for comparable hardware, year after year, without losing premium-tier share. That is demonstrated pricing power over more than a decade.
- **Vertical silicon:** Apple designs its own chips. They deliver performance-per-watt its competitors cannot buy from any supplier. We view this as the most defensible layer.
- **App Store network:** developers must be where the users are, and users stay where the apps are. The network remains intact. It is also the layer most exposed to regulatory erosion.

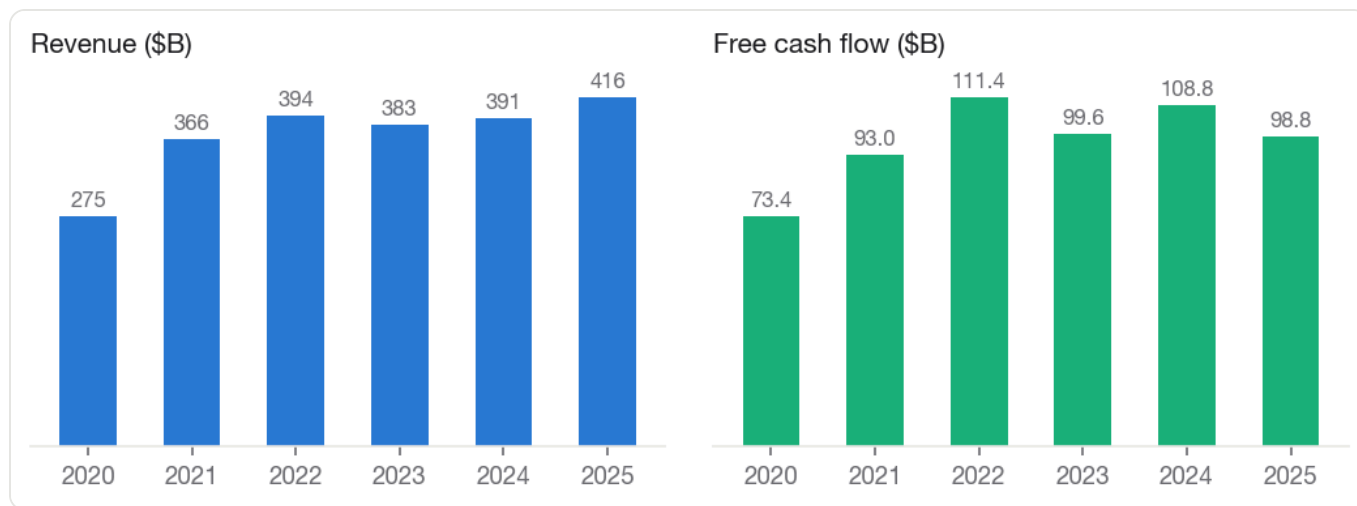
Direction: the switching-cost and silicon layers are intact. The App Store layer is being narrowed at the margin by regulators. The brand layer has never been tested against a genuine change in how people use technology, which the AI era may become. *Net effect: a stable moat that earns a premium multiple — but not an expanding one, and an expanding premium is what the current price requires.*

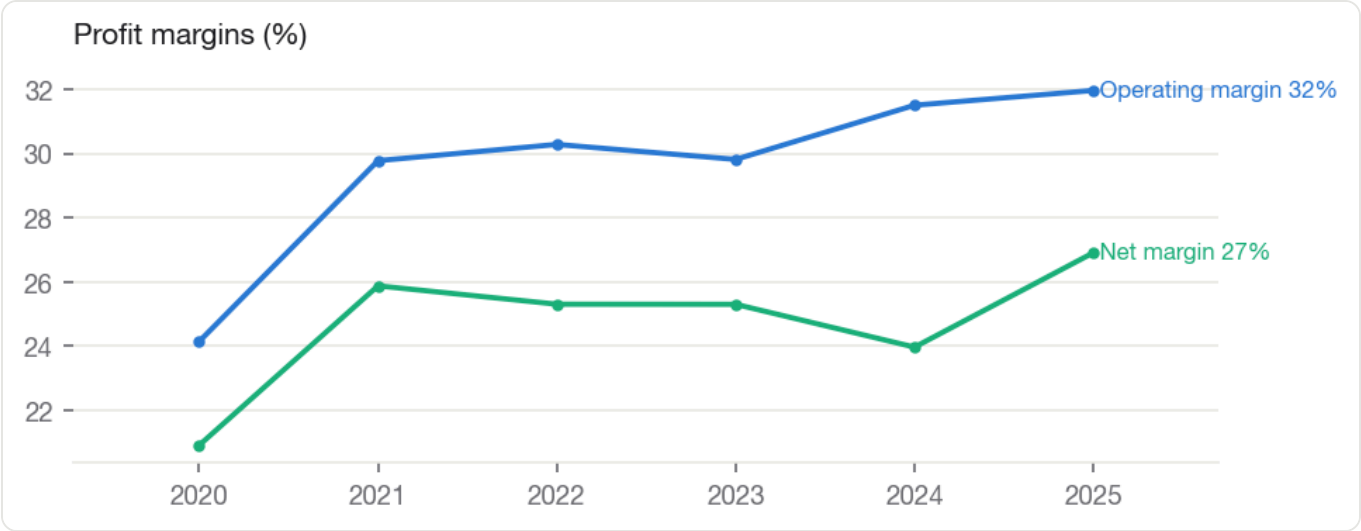
Financial Analysis

Key financials (as filed with the SEC)

FISCAL YEAR	2021	2022	2023	2024	2025
Revenue	\$365.8B	\$394.3B	\$383.3B	\$391.0B	\$416.2B
Revenue growth	—	+7.8%	-2.8%	+2.0%	+6.4%
EBITDA	\$120.2B	\$130.5B	\$125.8B	\$134.7B	\$144.7B
EBITDA margin	32.9%	33.1%	32.8%	34.4%	34.8%
Operating margin	29.8%	30.3%	29.8%	31.5%	32.0%
Net income	\$94.7B	\$99.8B	\$97.0B	\$93.7B	\$112.0B
Net margin	25.9%	25.3%	25.3%	24.0%	26.9%
Diluted EPS	\$5.61	\$6.11	\$6.13	\$6.08	\$7.46
Free cash flow	\$93.0B	\$111.4B	\$99.6B	\$108.8B	\$98.8B
Return on equity	150.1%	197.0%	156.1%	164.6%	151.9%
Net debt	\$74.2B	\$75.3B	\$65.3B	\$55.8B	\$42.4B
Shareholders' equity	\$63.1B	\$50.7B	\$62.1B	\$57.0B	\$73.7B
Dividends paid	\$14.5B	\$14.8B	\$15.0B	\$15.2B	\$15.4B

Revenue CAGR: +1.8% (3y), +8.7% (5y). Net income CAGR (5y): +14.3%. FCF CAGR (5y): +6.1%.



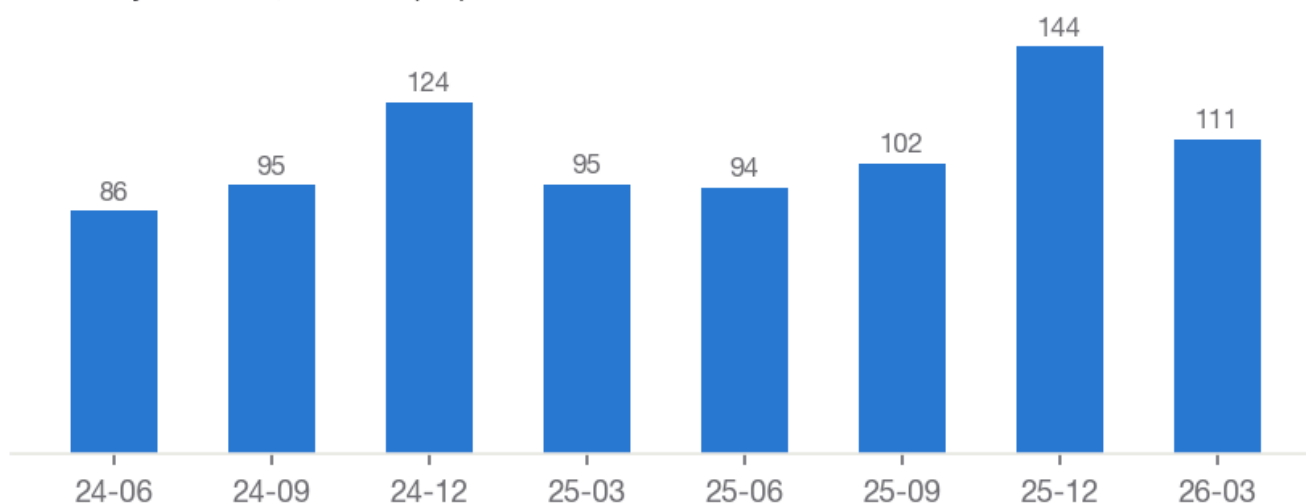


Recent quarters

QUARTER ENDED	REVENUE	NET INCOME	DILUTED EPS
2024-06-29	\$85.8B	\$21.4B	\$1.40
2024-09-28*	\$94.9B	\$14.7B	—
2024-12-28	\$124.3B	\$36.3B	\$2.40
2025-03-29	\$95.4B	\$24.8B	\$1.65
2025-06-28	\$94.0B	\$23.4B	\$1.57
2025-09-27*	\$102.5B	\$27.5B	—
2025-12-27	\$143.8B	\$42.1B	\$2.84
2026-03-28	\$111.2B	\$29.6B	\$2.01

* Fiscal fourth quarters have no 10-Q of their own; they are derived as the annual filing less the three reported quarters. Quarterly EPS is not derived.

Quarterly revenue, as filed (\$B)



Management and Capital Allocation

- **CEO transition (September 1, 2026):** Tim Cook hands the CEO role to John Ternus, the head of hardware engineering. Cook's fifteen years saw revenue roughly quadruple and cumulative buybacks approach \$1 trillion. Ternus, 51, is a 25-year insider who ran engineering for every major hardware line through the Apple-silicon transition. Press profiles describe a deliberate, multi-year succession plan. We view the handoff as orderly and well-telegraphed. We also note what it signals: the board chose a product engineer over an operator at the exact moment the AI product question defines the stock. Ternus has no public capital-allocation record. The market assumes the buyback continues under him; that assumption has not yet been tested.
- **Broader turnover:** the CFO seat changed hands in January 2025 (Kevan Parekh) and the COO seat in 2025 (Sabih Khan), both planned. Each change alone is unremarkable. All three top seats turning over within eighteen months concentrates institutional-memory risk at a strategically demanding time.
- **Capital returns:** Apple buys back roughly \$100B of its own stock each year, the largest such program in corporate history. That retires about 3% of shares outstanding annually. A modest dividend (~0.4% yield) rides alongside. Management targets holding roughly zero excess cash over time. In practice, substantially all free cash flow is returned to shareholders.
- **Per-share compounding:** retiring 3% of shares each year makes per-share results grow about 3 points faster than the company itself. Our models do not yet credit this. The limitation is disclosed and scheduled for correction, and we estimate it understates our target by a mid-single-digit percentage.
- **Signal value:** the buyback says nothing about whether the stock is cheap. The program executes at 38x earnings exactly as it did at 15x. It is a distribution pipe, not a signal. Its scale also tells you management sees no internal projects able to absorb this capital at acceptable returns.

- **R&D and M&A:** research spending runs about 8% of revenue — large in dollars, ordinary as a ratio among mega-cap technology. Apple concentrates its bets: silicon, health, spatial computing, and now AI. Acquisitions remain small tuck-ins. We assess execution and capital discipline as excellent.

Valuation

We value the company using several independent methods, each of which can be wrong for different reasons. Close agreement across methods increases our confidence in the blended target. A wide spread indicates the value is genuinely uncertain, and we hold the target with lower conviction accordingly. Weights: discounted cash flow 40%, peer comparables 30%, own historical multiple 30%.

Discounted cash flow — \$150.69 per share

ASSUMPTION	VALUE
Fcf base	\$99.6B
Initial growth	15.00%
Terminal growth	2.50%
Cost of equity	9.85%
Exit multiple	23.05
Projection years	5.00
Net debt	\$42.4B
Fcf basis	operating cash flow less all capital expenditure (standard basis)
Capex to depreciation	0.96x

Peer comparables — \$185.13 per share

ASSUMPTION	VALUE
Trailing	eps 8.26; peer median pe 23.42
Forward	eps 9.64; peer median pe 18.34
Peers used	MSFT, GOOGL, DELL, HPQ, SONY

Own historical multiple — \$267.61 per share

ASSUMPTION	VALUE
Own avg pe 5y	27.76
Eps used	9.64
Eps basis	forward

Sensitivity — target price across FCF growth (rows) and cost of equity (columns):

FCF GROWTH	8.8%	9.3%	9.8%	10.3%	10.8%
13.0%	199	196	194	191	189
14.0%	200	197	195	192	190
15.0%	202	199	196	194	192
16.0%	203	200	197	195	193
17.0%	205	201	199	196	194

DCF walk — the projection, year by year

The base free cash flow of \$99.6B is measured as operating cash flow less all capital expenditure (standard basis). Growth fades from 15.0% toward 2.5%, and each year is discounted at 9.85%.

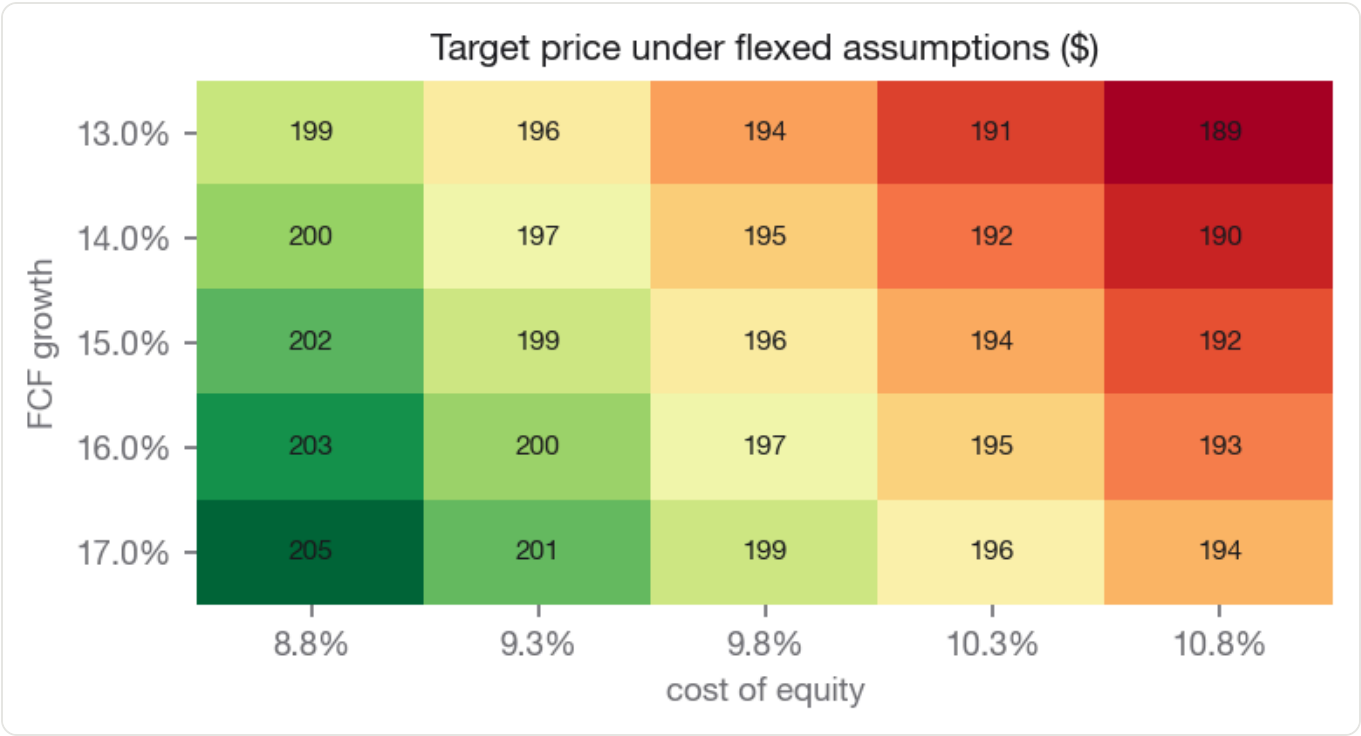
YEAR	GROWTH	FREE CASH FLOW	DISCOUNT FACTOR	PRESENT VALUE
1	+15.0%	\$114.5B	0.910	\$104.3B
2	+11.9%	\$128.1B	0.829	\$106.2B
3	+8.8%	\$139.3B	0.754	\$105.1B
4	+5.6%	\$147.2B	0.687	\$101.1B
5	+2.5%	\$150.8B	0.625	\$94.3B

- Sum of explicit-period value: \$510.9B
- Terminal value: average of Gordon growth (\$2,103.7B) and exit multiple (\$3,477.6B), discounted to \$1,744.6B (77% of total value)
- Less net debt \$42.4B → equity value \$2,213.1B → **\$150.69 per share**

Comparable companies

COMPANY	MKT CAP	P/E (TTM)	P/E (FWD)	EV/EBITDA	P/B	NET MARGIN	ROE
AAPL (subject)	\$4,878.6B	40.2	34.5	—	45.8	—	—
Microsoft Corporation	\$2,924.5B	23.4	20.3	16.4	7.1	39.3%	34.0%
Alphabet Inc.	\$4,230.8B	27.7	23.7	26.4	8.8	37.9%	38.9%
Dell Technologies Inc.	\$255.2B	31.5	18.3	19.5	-182.6	6.3%	—
HP Inc.	\$22.7B	9.2	8.3	6.2	-158.3	4.4%	—
Sony Group Corporation	\$124.8B	20.1	17.9	0.0	2.5	-2.6%	12.3%

Medians of this table drive the peer-comps lens and the DCF exit multiple. Peer selection is disclosed in universe.py and versioned.



Catalysts and What Would Change Our Mind

Key events and data points, with our expected read-through:

- CEO transition (September 1, 2026):** John Ternus succeeds Tim Cook. We expect no near-term change in strategy or capital returns. Even so, the first Ternus keynote, his first guidance cycle, and any early organizational moves will be read closely. Transition quarters carry elevated headline risk even when succession is planned.

2. **Quarterly earnings (next print expected late July 2026):** the number we watch first is Services growth. At 14% or better, the mix-shift story stays on schedule. Deceleration toward single digits would undermine the one segment supporting the premium multiple.
 3. **AI monetization evidence:** demonstrations do not move our numbers; reported revenue does. Evidence of shortened iPhone replacement cycles or paid AI services in the filings would cause us to raise our overlay. No such revenue has been reported to date.
 4. **Google default-placement litigation:** an adverse final ruling would remove an estimated \$20B+ of nearly costless annual revenue, worth roughly 3–4 points of EPS by our estimate. Our target does not assume that loss. The risk runs one way: down.
 5. **China share trajectory:** stabilization against Huawei would de-risk about a fifth of revenue and would cause us to revisit the growth assumption in our DCF.
 6. **Rating triggers:** the SELL ends in one of two ways. Either the price converges toward our \$229 target, or the fundamentals close the gap. Concretely, a return to sustained double-digit revenue growth with Services holding mid-teens would raise all three valuation lenses. We commit to reviewing the rating in any quarter that delivers both.
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Investment Risks

- Durable-goods demand is cyclical and replacement cycles can extend when consumers are stretched.
 - Currency: ~58% of revenue is earned abroad; a strengthening dollar is a mechanical translation headwind.
 - Valuation model risk: 77% of DCF value sits in the terminal period — the estimate is sensitive to terminal assumptions, as the sensitivity grid shows.
 - Against-consensus risk: our rating is below street consensus; if the narrative premium we decline to pay for is validated by delivered earnings, the stock can continue to outperform our target.
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ESG & Governance

Free primary ESG data is limited; this section reports only what can be grounded in market and filing data, and flags sector-specific exposures qualitatively.

- Institutional ownership: 66% — professional holders with governance voting power.
- Public float: 100% of shares outstanding.
- Dividend record: cash returned to shareholders in each of the last 13 fiscal years on file — a capital-discipline signal.
- Environmental/social exposure: hardware supply chains (sourcing, labor, e-waste) are the material themes for device makers.

Investment Conclusion

Initiating at SELL, \$229 target: quality is not the question; the multiple is.

- **The call:** SELL. Our target is \$225.51 against a current price of \$332.18, an implied return of -32.1%. Street consensus stands at \$315.79.
- **The evidence:** our independent lenses value the shares at \$150.69, \$185.13, and \$267.61. The blended base case is \$196.10. A disclosed analyst overlay adjusts this to \$225.51.
- **Conviction:** moderate. The widest and narrowest lenses differ by 1.8x. Tighter agreement between independent methods means higher confidence in the target.
- **Within coverage:** ranked Least Preferred, #7 among the names we cover.
- **Standing review:** we re-examine the rating at every quarterly report against the triggers listed under Catalysts. Calls and targets are logged, dated, and never rewritten.

Disclosures

- Generated by Equity-Lens on 2026-07-17 from primary sources: SEC EDGAR (as-filed XBRL financials), Yahoo Finance (market data), FRED (macro series).
- All model values are computed deterministically; methodology is versioned in this repository. Analyst overlays are dated and disclosed in the Investment Summary.
- Street consensus figures are shown for benchmarking only and are never model inputs.
- Educational research project. Not investment advice.

Equity-Lens — independent equity research, computed rather than opined. Educational project; not investment advice.
Methodology and source code: github.com/Jamesheidbreder/equity-lens